AUDIT RISK (BOOKISH PART)

Q.NO.201:(MAGPIE)

(a) Purpose of an audit engagement letter and four items to be included in AEL:

The audit engagement letter outlines the nature of the contract between the audit firm and the audit client. Its purpose is to minimise the risk of any misunderstanding of the terms of the engagement between the auditor and the client and it confirms acceptance of the engagement.

Matters to be included in engagement letter:

- The objective and scope of the audit.
- The auditor's responsibilities.
- Management's responsibilities.
- Identification of the applicable financial reporting framework for the preparation of the financial statements.
- Elaboration of the scope of the audit with reference to legislation.

(b) Calculate the following two ratios for both years:

Ratio	20X5	20X4
Operating profit margin	1.82%	4.62%
Payables payment period	64 days	81 days

Q.NO.203:(ESK)

(a) Preconditions for an audit that Bannok & Co should have established prior to accepting the audit of Esk Co:

In order to establish whether the preconditions for an audit are present, Bannock & Co must:

- Determine whether the financial reporting framework to be applied by Esk Co in the preparation of its financial statements is acceptable. In considering this, the auditor should have assessed the nature of the entity, the nature and purpose of the financial statements and whether law or regulation prescribes the applicable reporting framework.
- Obtain the agreement of the management of Esk Co that they have acknowledge and understand their responsibility:

  :for the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation.

  :for the design and implementation of internal controls which management considers necessary to enable Esk Co to prepare financial statements which are free from material misstatement, whether due to fraud or error.

(b) Calculate the following four ratios:

Ratio	20X5	20X4
Gross profit margin	27%	28%
Inventory holding period	135 days	117 days
Receivables collection period	85 days	65 days

Payables payment period	39 days	64 days

Q.NO.203:(PEACH)

(b) Apricot & Co's responsibilities in relation to the prevention and detection of fraud and error.

- Apricot & Co must conduct an audit in accordance with ISA 240. The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements and are responsible for obtaining reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error.
- Apricot & Co is required to identify and assess the risks of material misstatement of the financial statements due to fraud.
- The auditor needs to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud, through designing and implementing appropriate responses.
- Apricot & Co must respond appropriately to fraud or suspected fraud identified during the audit, for example, the fraud regarding the purchase of assets for personal use identified by Peach Co.
- To ensure that the whole engagement team is aware of the risks and responsibilities for fraud and error, ISAs require that a discussion is held within the team.

Q.NO.204:(CORLEY APPLIANCES)

(a) Preconditions for an audit:

In order to establish whether the preconditions for an audit are present, Woodword & Co must:

- Determine whether the financial reporting framework to be applied by Corley Appliances Co in the preparation of its financial statements is acceptable. In considering this, the auditor should have assessed the nature of the entity, the nature and purpose of the financial statements and whether law or regulation prescribes the applicable reporting framework.
- Obtain the agreement of the management of Corley Appliances Co that they have acknowledge and understand their responsibility:
    - :for the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation.
    - :for the design and implementation of internal controls which management considers necessary to enable Corley Appliances Co to prepare financial statements which are free from material misstatement, whether due to fraud or error.

(c) Define professional scepticism and explain two examples from the audit of Corley Appliances Co

Professional scepticism is defined in ISA 200 overall objectives of the independent auditor and the conduct of an audit in accordance with International Standards on Auditing as an attitude which includes a questioning mind, being alert to conditions which may indicate possible misstatement due to fraud or error , and a critical assessment of audit evidence.

Ecxamples where the auditor should apply professional scepticism for Corley Appliances Co are as follows:

Revenue recognition:

ISA 240 The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements contains a rebuttable presumption that fraud in relation to revenue is high risk and hence the auditor must apply professionak scepticism to Corley Appliances Co's revenue recognition policies, especially in relation to the company's return policy which due to the judgment involved maybe used as a way to manipulate revenue.

Fraud:

As a fraud has been committed during the year, the auditor must maintain professional scepticism recognising the fact that internal control defeciencies.

Bank overdraft:

The company is reliant on its bank overdraft due to the significant levels of expenditure which it has incurred during the year on the new despatch system. Management may want to deliberately overstate profit and understate liabilities so that the bank renews the overdraft facility.

Q.NO.205:(HART)

(a) Benefits of audit planning:

Audit planning is addressed by ISA 300 Planning on Audit of Financial Statements. It states that adequate planning benefits the audit of financial statements in several ways:

- Helping the auditor to devote appropriate attention to important areas of the audit.
- Helping the auditor to identify and resolve potential problems on a timely basis.
- Helping the auditor to properly organise and manage the audit engagement so that it is performed in an effective and efficient manner.
- Facilitating the direction and supervision of engagement team members and the review of their work.
- Assisting, where applicable, in coordination of work done by experts.

(d) Safeguards to ensure that this conflict of interest is appropriately managed:

- Both Hart Co and its competitor should be notified that Morph & Co would be acting as auditors for each company and consent should be obtained from management of each company.
- Morph & Co should consider advising one or both clients to seek additional independent advice.
- Adequate procedures should be in place within the firm to prevent access to information, for example, strict physical seperation of both teams, confidential and secure data filing.
- Morph & Co must set out clear guidlines for members of each engagement team on issues of security and confidentiality. These guidlines could be included within the audit engagement letters sent to each client.
- Morph & Co should consider the use of confidentiality agreements signed by all members of the engagement teams of Hart Co and the competitor.
- Regular monitoring of the application of the above safeguards should be undertaken by a senior individual in Morph & Co not involved in either audit.

Q.NO.206:(SCARLET)

(a) Purpose of an audit engagement letter and list Four items to be included in an audit engagement letter.

The audit engagement letter outlines the nature of the contract between the audit firm and the audit client. Its purpose is to minimise the risk of any misunderstanding of the terms of the engagement between the auditor and the client and it confirms acceptance of the engagement.

Matters to be included in engagement letter:

- The objective and scope of the audit.
- The auditor's responsibilities.
- Management's responsibilities.
- Identification of the applicable financial reporting framework for the preparation of the financial statements.
- Elaboration of the scope of the audit with reference to legislation.

(b) Factors to consider prior to accepting Scarlet Co as a new audit client:

Pre-acceptance factors	**Explaination**
The outgoing auditor's response	Prior to accepting an audit engagement, the auditor is required to contact the previous auditors, after obtaining permission from Scarlet Co, to ask for all information relevant to the decision as to whether or not the firm should accept appointment.
Management integrity	If Orange & Co's audit engagement partner has reason to believe that Scarlet Co's management lack integrity, there is a greater risk of fraud and intimidation. Orange & Co need to consider management integrity because if there are serious concerns regarding this, Orange & Co must not accept the audit engagement.
Pre-conditions for an audit	Orange & Co can only accept an audit engagement if the preconditions are present. The preconditions confirm that mangement will use an acceptable financial reporting framework under which they will prepare the financial statements and confirms that management acknowledges and understands its responsibilities for: • Preparing the financial statements in accordance with the applicable financial reporting framework. • Internal control necessary for the prepapration of the financial statements to be free from material misstatements and, • Providing the auditor with access to information relevant for the audit and access to staff within the entity to obtain audit evidence.
Independence and objectivity	The auditor must consider whether there are any threats to independence and objectivity which cannot be reduced to an acceptably low level by the use of appropriate safeguards, such as if any Orange & Co's staff have shares in Scarlet Co or

	are related to staff employed at Scarlet Co. If such threats are present and cannot be sufficiently mitigated, Orange & Co must not accept the audit engagement.
Resources available at the time of audit	Orange & Co must have adequate resources with the relevant experience available at the time the audit of Scarlet Co is likely to be carried out. All audit staff deployed to the audit of Scarlet Co must be capable of carrying out the audit in accordance with international standards on Auditing (ISA).

Q.NO.207:(HARLEM)

(a) Calculate the following ratios:

Ratio	20X5	20X4
Gross profit margin	19.4%	21%
Inventory holding period	41 days	34 days
Gearing	56.5%	54%
OR	130%	116%
Interest cover	2.6 times	4.4 times

(c) Supervision and review of the assistant's work:

Supervision:

During the audit, the supervisor should keep track of the progress of the audit engagement to ensure that the audit timetable is met and should ensure that the audit manager and partner are kept updated of progress.

The competence and capabilities of individual members of the engagement team should be considered, including whether they have sufficient time to carry out their work, whether they understand their instructions and whether the work is being carried out in accordance with the planned approach to the audit.

Review:

The supervisor would be required to review the work completed by the assistants and consider whether this work has been performed in accordance with professional standards and other regulatory requirements and if the work performed supports the conclusions reached and has been properly documented.

Q.NO.208:(PEONY)

(a) Materiality and performance materiality:

Materiality:

Materiality is defined in ISA 320 as follows; Misstatements, including omissions, are considered to be material if they, individually or in the aggregate, could reasonably be expected to influence the

economic decision of users taken on the basis of the financial statements.

If the financial statements include a material misstatement, then they will not present fairly the position, performance and cash flows of the entity.

A misstatement may be considered material due to its size and/or due to its nature or a combination of both. The quantitative nature of a misstatement refers to its relative size. A misstatement which is material due to its nature to an amount which might be low in value but due to its prominence and relevance could influence the user's decision, for example, director's transactions.

In assessing materiality, the auditor must consider that a number of errors each with a low value may, when aggregated, amount to a material misstatement.

Performance materiality:

Performance materiality is defined in ISA 320 as follows; The amount set by the auditor at less than materiality for the financial statements as a whole to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality for the financial statements as a whole.

Hence perfoormance materiality is set at a level lower than overall materiality for the financial statements as a whole. It is used for testing individual transactions, account balances and disclosures. The aim of performance materiality is to reduce the risk that the total of all of the errors in balances, transactions and disclosures exceeds overall materiality.

Q.NO.209:(DARJEELING)

(a) Why analytical procedures are used during THREE stages of audit:

Analytical procedures can be used at all stages of an audit, however, ISA 315 Identifying and Assessing the Risks of Material Misstatement and ISA 520 Analytical Procedures identify three particular stages.

During the planning stage, analytical precuders must be used as risk assessment procedures in order to help the auditor to obtain an understanding of the entity and assess the risk of material misstatement.

During the final audit, analytical procedures can be used to obtain sufficient appropriate evidence. Substantive procedures can either be tests of detail or substantive analytical procedures.

(b) Ratios

Ratios	20X5	20X4
Gross profit margin	37%	36%
Inventory holding period	54 days	45 days
OR		
Inventory turnover	6.7	8.1
Receivable collection period	51 days	38 days
Payable payment period	58 days	40 days
Current ratio	1.65	3.08
Quick ratio	0.99	1.97

Q.NO.210:(BLACKBERRY)

(a) Fraud responsibility:

Loganberry & Co must conduct an audit in accordance with ISA 240 The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements and is responsible for obtaining reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error.

In order to fulfil this responsibility, Loganberry & Co is required to identify and assess the risks of material misstatement of the financial statements due to fraud.

They need to obtain sufficient appropriate audit evidence regarding the assesses risks of material misstatement due to fraud through designing and implementing appropriate responses. In addition, Loganberry & Co must respond appropriately to fraud or suspected fraud identified during the audit.

Q.NO.211:(PRANCER CONSTRUCTION)

(a) Preconditions for an audit:

In order to establish whether the preconditions for an audit are present, Cupid & Co must:

- Determine whether the financial reporting framework to be applied by Prancer Construction Co in the preparation of its financial statements is acceptable. In considering this, the auditor should have assessed the nature of the entity, the nature and purpose of the financial statements and whether law or regulation prescribes the applicable reporting framework.
- Obtain the agreement of the management of Prancer Construction Co that they have acknowledge and understand their responsibility:
    - :for the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation.
    - :for the design and implementation of internal controls which management considers necessary to enable Prancer Construction Co to prepare financial statements which are free from material misstatement, whether due to fraud or error.

(b) Areas to be included in the audit strategy document:

Main characteristics of the engagement:

The audit strategy should consider the main characteristics of the engagegment, which define its scope. For Prancer Construction Co, the following are examples of things which should be included:

- Whether the financial information to be audited has been prepared in accordance with the relevant financial reporting framework.
- Whether automated tools and audit techniques will be used and the effect of IT on audit procedures.
- The availibility of key personnel at Prancer Construction Co.

Significant factors affecting the audit:

The strategy should consider the factors which, in the auditor's professional judgment are significant in directing Prancer Construction Co's audit teams's efforts, such as:

- The determination of materiality for the audit.
- The need to maintain questioning mind and to exercise professional scepticism in gathering and evaluating audit evidence.

Nature, timing and extent of resources:

The audit strategy should ascertain the nature, timing and extrent of resources necessary to perform the audit, such as:

- The human, technological and intellectual resources assigned.
- Assignment of audit work to the team members including the assignment of appropriately experienced team members to areas where there may be higher risks of material misstatament.
- Setting the audit budget including appropriate time set aside for areas where there may be higher risks of material misstatement.

Q.NO.212:(HURLING)

(a) Audit risk and components of audit risk:

Audit risk is the risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of two main components, being the risk of material misstatement and detection risk. Risk of material misstatement is made up of a further two components, inherent risk and control risk.

Inherent risk is the susceptibility of an assertion about a class of transactions, account balance or disclosure to a misstatement which could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

Control risk is the risk that a misstatement which could occur in an assertion about a class of transaction, account balance or disclosure and which could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's controls.

Detection risk is the risk that the procedures performed by ther auditor to reduce audit risk to an acceptably low level will not detect a misstatement which exists and which could be material, either individually or when aggregated with other misstatements. Detection risk is affected by sampling and non-sampling risk.

Q.NO.213:(CENTIPEDE)

(a) Matters to be considered prior to accepting the audit of Centipede Co:

Ant & Co should have considered any issues which might arise which could threaten compliance with ACCA's Code of Ethics and Conduct or any local legislation, such as the level of fees from Centipede Co, to ensure it is not unduly reliant on these fees, as well as considering whether any conflicts of interest arise with existing clients. If issues arise, then their significance must be considered.

In addition, the firm should have considered whether it was competent to perform the work and whether it has appropriate resources available, as well as any specialist skills or knowledge required for the audit of Centipede Co.

Ant & Co should have considered what it already knows about the directors of Centipede Co. The reputation and integrity of the directors should have been considered. If necessary, the firm should have obtained references.

(b) Ratios

Ratios	20X5	20X4
Gross profit margin	37.2%	33.8%
Inventory holding period	54 days	47 days
Payables payment period	81 days	73 days
Current ratio	0.97	1.26

(d) Safeguards to deal with conflict of interest:

- Both Centipede Co and its competitor should be notified that Ant & Co would be acting as auditors for each company and consent should be obtained from management of each company.
- Ant & Co should consider advising one or both clients to seek additional independent advice.
- Adequate procedures should be in place within the firm to prevent access to information, for example, strict physical seperation of both teams, confidential and secure data filing.
- Ant & Co must set out clear guidlines for members of each engagement team on issues of security and confidentiality. These guidlines could be included within the audit engagement letters sent to each client.
- Ant & Co should consider the use of confidentiality agreements signed by all members of the engagement teams of Centipede Co and the competitor.
- Regular monitoring of the application of the above safeguards should be undertaken by a senior individual in Ant & Co not involved in either audit.

Q.NO.214:(AQUAMARINE)

(a) Audit risk and components of audit risk:

Audit risk is the risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of two main components, being the risk of material misstatement and detection risk. Risk of material misstatement is made up of a further two components, inherent risk and control risk.

Inherent risk is the susceptibility of an assertion about a class of transactions, account balance or disclosure to a misstatement which could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.

Control risk is the risk that a misstatement which could occur in an assertion about a class of transaction, account balance or disclosure and which could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's controls.

Detection risk is the risk that the procedures performed by ther auditor to reduce audit risk to an acceptably low level will not detect a misstatement which exists and which could be material, either individually or when aggregated with other misstatements. Detection risk is affected by sampling and non-sampling risk.

(c) Payroll service organisation:

- The audit team should gain an understanding of the services being provided by Carol Payrolls Co, including the materiality of payroll and the basis of the outsourcing contract.
- They will need to assess the design and implementation of internal controls over Aquamarine Co's payroll at Cora Payroll Co.
- The team may wish to visit Coral Payrolls Co and undertake tests of controls to confirm the operating effectiveness of the controls.
- Amethyst & Co is responsible for obtaining sufficient and appropriate evidence, therefore no reference may be made in the auditor's report regarding the use of information from Coral Payrolls Co's auditors.

Q.NO.215:(VENUS)

(a) Engagement letter:

Engagement letters for existing clients should be revised if any of the following factors are present:

- Any indication that the entity misunderstands the objectives and scope of the audit, as this misunderstanding would need to be clarified.
- Any revised or special terms of the audit engagement, as these would require inclusion in the engagement letter.
- A change in legal or regulatory requirments. The engagement letter is a contract; hence if legal or regulatory changes occur, then the contract could be out of date.
- A change in the financial reporting framework adopted in the preparation of the financial statements. The engagement letter clarifies the role of auditors and those charged with governance, it identifies the reporting framework of the financial statements and if this changes, then the letter requires updating.

(b) Matters to be included in engagement letter:

- The objective and scope of the audit.
- The auditor's responsibilities.
- Management's responsibilities.
- Identification of the applicable financial reporting framework for the preparation of the financial statements.
- Elaboration of the scope of the audit with reference to legislation.

(c) Understanding an entity:

Prior year financial statements:

Provide information in relation to the size of a company as well as the key accounting policies, disclosure notes and whether the audit opinion was modified or not.

Discussion with the previous auditors/access to their files:

Provides information on key issues identified during the prior year audit as well as the audit approach adopted.

Discussion with management:

Provides information in relation to the business, any important issues which have arisen or changes to accounting policies.

Review of board minutes:

Provides an overview of key issues which have arisen during the year and how those charged with governance have addressed them.

Current year budget and management accounts:

Provides relevant financial information for the year to date. It will help the auditor during the planning stage for preliminary analytical review and risk identification.

Q.NO.216:(SYCAMORE)

(a) Maple & Co's responsibilities in relation to the prevention and detection of fraud and error.

- Maple & Co must conduct an audit in accordance with ISA 240. The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements and are responsible for obtaining reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error.
- Maple & Co is required to identify and assess the risks of material misstatement of the financial statements due to fraud.
- The auditor needs to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud, through designing and implementing appropriate responses.
- Maple & Co must respond appropriately to fraud or suspected fraud identified during the audit, for example, the fraud regarding the purchase of assets for personal use identified by Sycamore.
- To ensure that the whole engagement team is aware of the risks and responsibilities for fraud and error, ISAs require that a discussion is held within the team.

(c) Quality management

Briefing of the team:

The audit team should be informed of their responsibilities, the objectives of their work, the nature of the client's business and any other relevant infiormation to enable them to perform their work efficiently and effectively. This will enable them to identify material misstatements and know which areas require greater attention.

Supervision-tracking the progress of the audit:

The audit supervisor should keep track of the progress of the audit in order to ensure the work is being completed on time or whether action needs to be taken such as bringing in additional staff to help complete the work or whether to agree an extended deadline with the client.

Supervisiion-addressing significant matters:

The audit supervisor will also ensure that significant matters are being dealt with promptly. If issues are resolved as soon as they are identified the audit is more likely to be completed within the agreed timeframe.

Consultation:

Consultation will be required where the team does not have the necessary expertise. The audit supervisor should identify an areas where consultation with an expert is required and make arrangements for such consultation whether this is referring the matter to another person within the audit firm or using an external report.

Review of work:

Each team member's work should be reviewed by someone more senior. This is to ensure the work has been to the required standard. The reviewer may identify additional work that needs to be performed before a conclusion can be drawn reducing the risk that material misstatements go undetected.

EQR:

An engagement quality review will be necessary for listed clients and other high-risk cients, for example to provide an additional safeguard for clients where independence issues have been identified.

(d) (i) Review engagements:

Review engagements are often undertaken as an alternative to an audit, and involve a practitioner reviewing financial data, such as six-monthly figures. This would involve the practitioner undertaking procedures to state whether anything has come to their attention which causes the practitioner to believe that the financial data is not in accordance with the financial reporting framework.

(ii) Levels of assurance:

External audit:

This provides comfort that the financial statements present fairly in all material respects and are free of material misstataements.

A high but not absolute level of assurance is provided. This is known as reasonable assurance.

Review engagements:

The practitioner gathers sufficient evidence to be satisfied that the subject matter is plausible.

In this case negative assurance is given whereby the practitioner confirms that nothing has come to their attention which indicates that the subject matter contains material misstatements.

Q.NO.217:(RECORDER COMMUNICATION)

(a) Benefits of audit planning:

Audit planning is addressed by ISA 300 Planning on Audit of Financial Statements. It states that adequate planning benefits the audit of financial statements in several ways:

- Helping the auditor to devote appropriate attention to important areas of the audit.
- Helping the auditor to identify and resolve potential problems on a timely basis.
- Helping the auditor to properly organise and manage the audit engagement so that it is performed in an effective and efficient manner.
- Facilitating the direction and supervision of engagement team members and the review of their work.
- Assisting, where applicable, in coordination of work done by experts.

(c) Audit procedures for continous inventory counts:

- Attend at least one of the continous inventory counts to review whether the controls over the inventory count are adequate.

- Confirm that all of the inventory lines have been counted or are due to be counted at least once a year by reviewing the schedules of counts undertaken or due to be undertaken.
- Review the adjustments made to the inventory records on a monthly basis to gain an understanding of the level of differences arising on a monthly basis.
- Discuss with management how they will ensure that year-end inventory will not be under or overstated. If significant differences consistently arise, this could indicate that the inventory records are not adequately maintained.

(e) Auditor responsibilities in relation to laws and regulations:

- The auditor must perform audit procedures to help identify non-compliance with laws and regulations that may have a material impact on the financial statements.
- The auditor must obtain sufficient, appropriate evidence regarding compliance with laws and regulations that have a direct effect on the financial statements e.g. the requirement to seperately disclose director's bonuses.
- The auditor must report non-compliance to management and those charged with governance.
- If the non-compliance has a material effect on the financial statements, the auditor must modify the audit opinion with a qualified or adverse opinion.
- The auditor must consider whether they have any legal or ethical responsibility to report non-compliance to third parties.

INTERNAL CONTROLS (ALL BOOKISH PART)

Q. NO.218 (DALEY):

(a) Components of a internal control system:

Components of internal control	Description
Control environment	The control environment includes the governance and management functions and attitudes, awareness and actions of those charged with governance and management concerning the entity's internal control and its importance in the entity. The control environment sets the tone of an organisation, influencing the control consciousness of its people.
Entiry's risk assessment process	For financial reporting process, the entity's risk assessment process includes how management identifies business risks relevant to the preparation of financial statements in accordance with the entity's applicable financial reporting framework. It estimates their significance, assesses the likelihood of their occurrence and decides upon actions to repsond to and manage them and the results therof.
Entity's process to monitor the system of internal control	Monitoring of controls is a process to assess the effectiveness of internal control performance over time. It involves assessing the effectiveness of controls in a timely basis and taking necessary remedial actions. Management accomplishes the monitoring of controls through ongoing activities, seperate evaluations, or a combination of the two. Ongoing monitoring activities are often built into the normal recurring activities of an entity and include regular management and supervisory activites.
Information system and communication	The information system relevant to financial reporting objectives, which includes the accounting system, consists of the procedures and records designed and established initiate, record, process and report entity transactions and to maintain accountability for the related assets, liabilities and equity.
Control activities	Control activities are the policies and procedures which help ensure that management directives are carried out. Control activities, whether within information technology or manual syatems, have various objectives and are applied at various organizational and functional levels.

Q.NO.219 (WHITTAKER CO.):

(a) Determining deficiencies in internal control:

- The likelihood of the deficiency resulting in material misstatement in the financial statements in the future.

- The susceptibility to loss or fraud of the related asset or liability.
- The subjectivity and complexity of determining estimated amounts.
- The amounts exposed to the deficiency.
- The importance of the identified deficient controls to the financial reporting process.
- The interaction of the deficiency with other deficiencies in internal control.

Q.NO.220 (POMERANIAN):

(a) Limitations of internal control system:

- **Human error:** Mistakes made by those responsible for performing controls.
- **Collusion of staff**: Staff work together to bypass the control of segregation of duties.
- **Ineffective controls:** Controls which do not work as intented.
- Use of management judgment on nature and extent of control it choses to implement.

Q.NO.221 (CASTLE COURIER):

(a) Documenting systems:

	Description	Advantage	Disadvantage
Narrative notes	It consists of a written description of the system; they would detail what occurs in the system at each stage and would include any controls which operate at each stage.	• They are simple to record; after discussion with staff members. • They can facilitate understanding by all members of the internal audit team, especially more junior members who might find alternative methods too complex.	• Narrative notes may prove to be too combersome, especially if the system is too complex. • This method can make it more difficult to identify missing internal controls as the notes record the detail but do not identify control exceptions clearly.

Questionnaire	Internal control questionnaire (ICQ) or internal control evaluation questionnaire (ICEQ) contain a list of questions; ICQs are used to assess whether control exist whereas ICEQs test the effectiveness of the controls.	• Questionnaires are quick to prepare, which means they are timely method for recording the system. • They ensure that all controls present within the system are considered and recorded; hence missing controls or deficiencies are clearly highlighted by the internal audit team.	• It can be easy for the staff members to overstate the level of controls present as they are asked a series of questions relating to potential controls. • A standard list of questions may miss out unusual controls.
Flowcharts	Flowcharts are graphic illustration of the internal control system for the system. Lines usually demonstrate the sequence of events and standard symbols are used to signify controls or documents.	• It is easy to view the system in its entirely as it is all presented together in one diagram. • Due to the use of standard symbol for controls, they are easy to spot as are any missing controls.	• They can sometimes be difficult to amend, as any amendments may require the whole flowchart to be redrawn. • There is still the need for narrative notes to accompany the flowchart and hence it can be a time consuming method.

Q.NO.222 (SWIFT):

(a) Documenting systems:

SAME AS ABOVE IN CASTLE COURIER!!

Q.NO.223 (SNOWDOWN):

(a) Determining deficiencies in internal control:

- The likelihood of the deficiency resulting in material misstatement in the financial statements in the future.

- The susceptibility to loss or fraud of the related asset or liability.
- The subjectivity and complexity of determining estimated amounts. The amounts exposed to the deficiency.
- The importance of the identified deficient controls to the financial reporting process.
- The interaction of the deficiency with other deficiencies in internal control.

Q.NO.224 (AMBERJACK):

(a) Limitations of internal control system:

- **Human error**: Mistakes made by those responsible for performing controls.
- **Collusion of staff**: Staff work together to bypass the control of segregation of duties.
- **Ineffective controls**: Controls which do not work as intented.
- Use of management judgment on nature and extent of control it choses to implement.

Q.NO.225 (FREESIA):

(a) Documenting systems:

SAME AS ABOVE IN CASTLE COURIER!!

Q.NO.226 (CAMOMILE):

(a) (ii) Importance of communicating with those charged with governance:

- It assists the auditor and those charged with governance in understanding matters related to the audit, and in devoloping a constructive working relationship. This relationship is devoloped while maintaining the auditor's independance and objectivity.
- It promotes effective two-way communication between the auditor and those charged with governance.

(a) (ii) Matters to be communicated to those charged with governance:

- The auditor should explain the planned approach to the audit as well as the audit timetable.
- Any key audit risks identified during the planning stage should be communicated.
- In addition, any significant difficulties encountered during the audit should be communicated.
- If any suspected frauds are identified during the audit, these must be communciated.

Q.NO.227 (RASPBERRY):

(c) Role of internal and external audit

	External Audit	**Internal audit**
Objective	Express an opinion on the truth and fairness of the financial statements in a written report.	Improve the company's operations by reviewing the efficiency and effectiveness of internal controls.

Reporting	Reports to shareholders	Reports to management
Availibility of report	Publicly available	Not publicly available
Scope of work	Verifying the truth and fairness of the financial statements	Wide in scope and dependent on management's requirment
Appointment and removal	By the shareholders of the company	By the audit committee or board of directors.
Relationship with company	Must be independent of the company	May be emploes or an outsourced function.

(d) Assignments for internal audit department (IAD):

Value for money review: The IAD could be asked to assess whether Raspberry Co is obtaining value for money review in areas such as asset expenditure.

Review of financial/operational controls: The IAD could undertake reviews of controls at head office and the power station and make reccomendations to management over such areas as purchasing process as well as the payroll cycle.

IT system reviews: Raspberry Co is likely to have a relatively complex computer system linking production data to head office. The IAD could be asked to perform a review over the computer environment and controls.

Cash controls: Raspberry Co's internal auditors could undertake controls testing over cash payments. 70% of employes are paid in cash rather than bank transfer, therefore on a weekly basis cash held is likely to be significant, therefore the cash controls in payroll should be tested to reduce the level of errors.

Fraud investigation: The IAD can be asked to investigate any specific cases of suspected fraud as well as review the controls in place to prevent/detect fraud.

Q.NO.228 (COMET PUBLISHING):

(a) Steps to confirm prior year flowcharts and system notes:

- Obtain the system notes from last year's audit and ensure that the documentation on the purchases and payables system covers all expected stages and is complete.
- Reveiw the audit file for indications of weaknesses in the system and note these for investigation this year.
- Obtain system documentation from the client, potentially in the form of a procedure manual. Review this to identify and changes made in the last 12 months.
- Interview client staff to ascertain whether system and controls have changed including the stores and warehouse to ensure that the flowcharts and notes produced last year is correct.
- Perform walk-through tests by tracing a sample of transactions through the purchases and payables system to ensure that the flowcharts and system notes contained on the audit file are accurate.

(d) Safeguards to deal with conflict of interest:

- Both Comet Publishing Co and its competitor Edmond Co, should be notified that Halley Co would be acting as auditors for each company and if necessary consent should be obtained frm both.
- Advising one or both clients to seek additional independent advice.

- Procedures to prevent access to information, for example, strict physical seperation of both teams, confidential and secure data filing.
- Potentially the use of confidentiality agreements signed by employees and partners of the firm.
- Regular monitoring of the application of the above safeguards by a senior individual in Halley & Co not involved in either audit.

Q.NO.229 (EQUISTRIAN):

(a) Control activities:

Segregation of duties:

Assignment of roles or responsibilities to ensure the tasks of authorising and recording transactions and maintaining custody of assets are carried out by different people. thereby reducing the risk of fraud and error in the normal course of their duties. For example, the payable ledger clerk recording invoices in the list of individual suppliers, and the finance director authorising the payment of those purchase invoice.

Verification:

Controls which compare two or more items with each other or compare an item with a policy. Verifications include information processing controls such as the use of batch control totals when entering transaction into the system.

Authorisation:

Approval of transactions by a suitably responsible official or higher level of management to ensure transactions are vakid and genuine. For example, authorisation by a responsible official of all purchase orders.

Physical or logical controls:

Restricting access to physical assets as well as computer programs and data files, thereby reducing the risk of theft of assets or data. For example, cash being stored in a safe which only a limited number of employees are able to access.

(d) Outsourcing internal audit:

Advantages:

Staffing

Equistrian Co whishes to expand its internal audit department in terms of size and specilist skills. If it outsources, there will be no need to spend money on recruiting further staff as the service provider will provide the staff members.

Immediate solution

As the current internal audit department is small, outsourcing can provide the number of staff needed straight away. If Equistrian Co was to recruit, it would take more time to obtain the additional people required.

Skills and experience

A service provider is likely to have a large pool of staff available to provide the internal audit service to Equistrian Co and is likely to have a staff with specilist skills already available.

Disadvantages:

Increased Cost

The cost of potential redundancies, the internal audit fee charged by the service provider may increase over time, proving to be very expnesive.

Loss of in-house skills

If the current internal audit team is not deployed elsewhere in the compnay, calubale internal audit knowledge and experience ma be lost. If Equestrian Co then decided at a future data to bring the service back in-house, this might prove to be too difficult.

Control

Once outsourced, Equistrian Co will need to discuss areas of work and timings well in advance with the service provider which means losing some control over activities of its internal audit department.

Q.NO.230 (CATERPILLAR):

(a) Control objectives-cash receipt system:

- To ensure that all valid cash receipts are received and banked promptly.
- To ensure all cash receipts are recorded in the bank ledger account.
- To ensure that cash receipts are correctly posted to general ledger.
- To ensure that cash receipts are recorded in the correct accounting period.
- To ensure that cash is safeguarded to precvent theft.

Q.NO.231 (HERAKLION CO):

SAME AS ABOVE IN CASTLE COURIER!!

Q.NO.232 (BRONZE):

(a) Need to obtain an understanding of components of internal control:

- One component of audit risk is control risk. To assess control risk the auditor must understand the components of internal control such as the control environments, control activites.
- If the controls are not effective the auditor cannot rely on the controls as a source of audit evidence and therefore a more substantive approach must be taken to obtaining sufficient and appropriate audit evidence.
- If the control system is effective, reliance can be placed on the controls and less substantive evidence will be required.

(e) Impact on interim and final audit:

Interim audit

Scarlet & Co could look to rely on any internal control documentation produced by internal audit to assess whether the control environment has changed during the year.

If the IA department has performed testing during the year on internal control systems, such as the payroll, sales and purchase systems, then Scarlet & Co could review and possibly place reliance on this work. This may result in the workload reducing and possibly a decrease in the external audit fee.

During the interim audit, Scarlet & Co would need to perform a risk assessment to assist in the planning process. It is possible that the IA department may have conducted a risk assessment and so Scarlet & Co could use this a part of its initial planning process.

Final audit:

It is possible that IA department may assist with year end inventory counting and controls and so Scarlet & Co can place some reliance on the work performed by them. Scarlet & Co will still need to attend the count and perform its own reduced testing.

Q.NO.233 (TROMBONE):

(a) Components of a internal control system:

Control environment:

The control environment includes the governance and management functions and attitudes, awareness and actions of those charged with governance and management concerning the entity's internal control and its importance in the entity. The control environment sets the tone of an organisation, influencing the control consciousness of its people.

Entiry's risk assessment process:

For financial reporting process, the entity's risk assessment process includes how management identifies business risks relevant to the preparation of financial statements in accordance with the entity's applicable financial reporting framework. It estimates their significance, assesses the likelihood of their occurrence and decides upon actions to repsond to and manage them and the results therof.

Entity's process to monitor the system of internal control:

Monitoring of controls is a process to assess the effectiveness of internal control performance over time. It involves assessing the effectiveness of controls in a timely basis and taking necessary remedial actions. Management accomplishes the monitoring of controls through ongoing activities, seperate evaluations, or a combination of the two. Ongoing monitoring activities are often built into the normal recurring activities of an entity and include regular management and supervisory activites.

Information system and communication:

The information system relevant to financial reporting objectives, which includes the accounting system, consists of the procedures and records designed and established initiate, record, process and report entity transactions and to maintain accountability for the related assets, liabilities and equity.

Control activities:

Control activities are the policies and procedures which help ensure that management directives are carried out. Control activities, whether within information technology or manual syatems, have various objectives and are applied at various organizational and functional levels.

Q.NO.234 (FOX INDUSTRIES):

(b) Information processing controls:

Document counts:

The number of invoices to be input are counted, the invoices are then entered one by one, at the end number of invoices input is checked against the document count. This helps to ensure completeness of input.

One for one checking:

The invoices entered into the system are manually agreed back one by one to the original purchase invoices. This helps to ensure completeness and accuracy of input.

Review of output to expected value:

The invoices are input and the total value of invoices is compared to the expected value. This helps to ensure completeness of input.

Existence checks:

The system is set up so that certain key data must be entered, such as supplier name, otherwise the invoices are rejected. This helps to ensure the accuracy of input.

Q.NO.235 (LILY WINDOW GLASS CO):

(b) Procedures during the inventory count:

- Record any inventory held at third party and ensures it is excluded from count.
- Re perform procedures adopted by warehouse manager.
- Observe procedures of warehouse manager in assessing level of WIP.
- Select a sample of damaged items noted and inspect them to ensure correctly noted.
- Observe counting items to ensure instructions are being followed.
- Select a sample and perform test counts from sheet to floor and floor to sheet.

(d) Potential advantages and disadvantages of using automated tools and techniques:

Advantages:

- Enables the audit team to test a large volume of inventory data accurately and quickly.
- Test data can test program controls within inventory system as well as general IT controls, such as passwords.
- Potentially reduces the level of human error in testing and hance provide a better quality of audit evidence.
- Enables the auditor to perform audit proceudres throughout the year rather than just at the year end.

Disadvantages:

- The cost in the first year will be high as there will be significant set up costs, it will also be a time-consuming process which increases costs.

- As this is the first time that automated tools and techniques will be used on Lily's audit, then the team may require training.
- If Lily's inventory system is likely to change in the foreseeble future, then costly revisions may be required.
- If testing is performed over the live inventory system, then there is a risk that the data could be corrupted or lost.

Q.NO.236 (PEAR INTERNATIONAL):

(d) Need for internal audit:

- **Scale, diversity and complexity of activites:** The more complex and diverse the activities of the company, the greater the need for internal checks which can be performed by an internal audit.
- **Number of empoyees:** If the company employs a large number of people, the risk of fraud and error increases. An internal audit function may be beneficial as it will act as deterrent for fraud and may detect frauds through the work performed.
- **Cost/benefit considerations:** If the cost of running an internal audit function outweighs the benefits obtained, the directors may decide there is no need for one.
- **Corporate Governance:** The desire to be seen to be adopting best practice voluntatrily to increase confidence of shareholders and other stakeholders.

STRAIGHT FORWARD BOOKISH KNOWLEDGE (SUBSTANTIVE PROCEDURES PART)

Q.NO.237 (PACIFIC):

(d) Discuss the issue and describe the impact on auditor's report:

The financial statements contain a provision for legal claims of $0.5m, however, audit work has identified that the provision should be $0.8m. Hence the provision is understated and profits overstated by $0.3m.

The error of $0.3m represents 7.3% of profit before tax (0.3m/4.1m) and hance is a material matter.

If the finance director refuses to increase the provision, the audit opinion will be modified due to material misstatement. As provisions are understated and the error is material but not pervasive, a qualified opinion would be necessary.

A basis for qualified opinion paragraph would be needed subsequent to the opinion paragraph and would explain the material misstatement in relation to the understated provision for legal claims and the effect on the financial statements. The opinion paragraph would be qualified 'except for'.

Q.NO.238 (SPINACH):

(d) (i) Describe the factors to consider in determining that this issue is a KAM (Key Audit Matters) :

Factors to consider:

As spinach Co is listed, a key audit matters (KAM) section will be required in the auditor's report. The audit partner would have considered whether the matter was communicated to those charges with governance as KAM are selected from matters communicated to those charged with governance. The audit partner would have also considered the level of risk in relation to the valuation of inventory and as determining the net realisable value is an accounting estimate, the level of judgment involved.

(ii) Describe the contents of KAM section :

Contents of KAM:

The KAM section of the auditor's report should include a reference to the audit risk in relation to the valuation of inventory and the level of judgment required in making this assessment. It should detail why this issue was considered to be an area of significance in the audit and therefore determined to be a KAM. It should also explain how the matter was addressed in the audit and the auditor should provide a brief overview of the audit procedures adopted as well as detailing that a review was undertaken of any related disclosures.

Q.NO.239 (DANUBE):

(d) (i) Describe the factors to consider in determining that this issue is a KAM (Key Audit Matters) :

Factors to consider:

As Danube Co is listed, a key audit matters (KAM) section will be required in the auditor's report. The audit partner would have considered whether the matter was communicated to those charges with governance as KAM are selected from matters communicated to those charged with governance. The audit partner would have also considered the level of risk in relation to the valuation of inventory and as determining the net realisable value is an accounting estimate, the level of judgment involved.

(ii) Describe the contents of KAM section :

Contents of KAM:

The KAM section of the auditor's report should include a reference to the audit risk in relation to the valuation of inventory and the level of judgment required in making this assessment. It should detail why this issue was considered to be an area of significance in the audit and therefore determined to be a KAM. It should also explain how the matter was addressed in the audit and the auditor should provide a brief overview of the audit procedures adopted as well as detailing that a review was undertaken of any related disclosures.

Q.NO.240 (PURRFECT CO):

(d) Issue and impact on auditor's report:

Adequate Disclosure:

If Purrfect Co adequately discloses the issue, then an unmodified opinion should be given but the auditor's report should include an emphasis of matter paragraph. This would draw an attention to the disclosure in the financial statements by cross-referencing the user to the note in the financial statements which discloses the possible claims, emphasising that the audit opinion is unmodified.

Inadequate Disclosure:

If there is no disclosure in the financial statements or the disclosure is considered to be inadequate, then this indicates that the financial statements are materially misstated. As this lack of adequate disclosure is liekly to be material but not pervasive, then a qualified opinion will be given. A basis for qualified opinion paragraph will be added to the auditor's report discussing the matter and the opinion paragraph will be modified to state that 'except for' the failure to adequately disclose the matter, the financial statements give a true and fair view.

Q.NO.241 (SAGITTARII & CO):

Impact on auditor's report:

The restructuring provision of $2.1m includes $270,000 of costs which do not meet the criteria for inclusion as per IAS 37 Provisions, Contingent Liabilities and Contingent Assets. Hence by including this amount the provision and expenses for this year are overstated and profits understated.

The error is material as it represents 2.3% of total equity and liabilities/ total assets (0.27m/11.6m) and hance the finance director should adjust the financial statements by removing this cost from the provision and instead expensing it to profit or loss as it is incurred.

If the finance director refuses to amend this error the audit opinion will be modified due to material misstatement. As management has not complied with IAS 37 and the error is material but not pervasive, a qualified opinion would be appropriate.

A basis for qualified opinion paragraph would be included after the opinion paragraph and would explain the material misstatement in relation to the incorrect treatment of the restructuring provision and the effect on the financial statements. The opinion paragraph would be qualified 'except for'.

Q.NO.242 (ENCORE):

Impact on Auditor's report:

The breaches in regulations and the initial investigation into the breaches occurred before the year end. The announcement by the authorities that they are taking legal action provides further evidence regarding these conditions which existed at the year end date therefore IAS 10 Events after the Reporting Period would classify this as an adjusting subsequent event.

As it seems probable that the fine will be payable, a provision must be included rather than merely the disclosure. Failure to make such a provision will cause profits to be overstated and provisions to be understated.

The potential fine of $850,000 (17 x $50,000) is 16% ($850k/$5.3m) of profit before tax and 2.1% ($850k/$40.1m) of total assets. It is therefore material.

As this is material but not pervasive a qualified opinion would be appropriate.

A basis for qualified opinion paragraph would be included after the opinion paragraph.

The opinion paragraph would be qualified 'except for'.

Q.NO.243 (SPADEFISH):

(c) Identify and explain THREE potential indicators that Marlin Co is NOT a going concern.

Marlin Co has paid some of its suppliers considerably later thsn usual and only after many reminders; hence some of them have withdrawn credit terms meaning the company must pay cash on delivery. This suggests that the company is struggling to meet its liabilities as they fall due.

Marlin Co's main supplier who provides over 60% of the company's specialist equipment has just stopped trading. If the equipment is highly specialised, there is a risk that Marlin Co may not be able to obtain these products from other suppliers which would impact on the company's ability to trade.

Marlin Co's overdraft has grown significantly during the year and is due for renewal within the next month. If the bank does not renew the overdraft and the company is unable to obtain alternative finance, then it may not be able to continue to meet its liabilities as they fall due, especially if suppliers continue to demand cash on delivery, and the company may not be able to continue to trade.

Q.NO.244 (HYACINTH):

(d) (i) Explain whether the 20X5 financial statements of Hyacinth Co require amendments in relation to the flood and,

(ii) Describe audit procedures which should be performed in order to form a conclusion on any required amendment.

A flood has occurred at the off-site warehouse, plant and equipment and inventory valued at $0.7m have been damaged and now have no scrap value. The directors do not believe they are likely to be able claim on the company's insurance for the damaged assets.

The damaged assets of $0.7m are material as they represent 10.9% (0.7m/$6.4m) of profit before tax and 3% ($0.7m/$23.2m) of total assets. As a material non-adjusting event, the assets do not need to be written down to zero in this financial year.

However, the directors should consider including a disclosure note detailing the flood and the value of assets impacted.

The following audit procedures should be applied to form a conclusion on any amendment:

- Obtain a schedule showing the damaged property, plant and equipment and agree the net book value to the non-current assets register to confirm the total value of affected assets.
- Review the condition of other PPE and inventory to confirm all damaged assets identofied.
- Review the damsged property, plant and equipment and inventory and discuss with management the basis for the zero scrap valye assessment.
- Discuss with management whether they will disclose the effect of the flood, as a non-adjusting event, in the year-end financial statements.

Q.NO.245 (JASMINE CO):

(d) Impact on auditor's report:

Adequate Disclosure:

If the disclosure are adequate, then the auditor's report will need to include a material uncertainity related to going concern section.

The section will state that the audit opinion is not modified, indicate that there is a matrial uncertainity and will cross reference to the disclosure note made by management.

It would be included after the opinion and basis for opinion poaragraph.

Inadequate Disclosure:

If the disclosure made by management are not adequate, the audit opinion will need to be modified as there is a material misstatement relating to inadequate disclosure.

The failure to adequately disclose is likel to be material but not pervaisve due to the ongoing nature of the negotiations and so a qualified opinion will be issued.

The opinion paragraph will state that 'except for' the failure to adequately disclose the uncertainity, the financial statements give a true and fair view.

The report will contain a basis for opinion paragraph, subsequent to the opinion paragraph, explaining that a material uncertainity exists and that financial statements do not adequately disclose this matter.

Q.NO.246 (GOOSEBERRY):

(d) Impact on auditor's report:

One of the new health and beauty products Gosseberry Co has developed in the year does not meet the recognition criteria under IAS 38 Intangible Assets for capitalisation but has been included within intangible assets.

The error is material as it represents 6.9% of profit before tax (0.44m/6.4m) and 1.2% of total assets (0.44m/37.2m).

Management should adjust the financial statements by removing this amount from intangible assets and charging it to the statement of profit or loss instead. If the project meets the recognition criteria in 20X6 then only from that point can any new costs incurred be capitalised. Any costs already expensed cannot be written back to assets.

If management refuses to amend this error, then the auditor's opinion will need to be modified. As management has not complied with IAS 38 and the error is material but not pervasive, then a qualified opinion would be necessary.

Q.NO.247 (DASHING):

(d) Impact on auditor's report:

The company has included a redundancy provision of $110,000 in the draft financial statements, however, audit fieldwork testing has confirmed that the provision should actually be $305,000. The provision is understated and profit before tax overstated if the finance director does not amend the financial statements.

The provision included is $110,000, it should be $305,000 hence an adjustment of $195,000 is required which represents 7.5% of profit before tax (195/2600) or 1.1% of total assets (195/18000) and hence is a material matter.

If management does not adjust the redundancy provision, the audit opinion will need to be modified.

As provisions are understated and profit overstated, there is a materil misstatement, which is not pervasive.

A basis for qualified opinion paragraph would be included after the opinion paragraph and would explain the material misstatement in relation to the redundancy provision and the effect on the financial statements. The opinion paragraph would be qualified 'except for'.

Q.NO.248 (AIRSOFT):

(e) Key Audit Matters:

Key Audit matters (KAM) are those matters which, in the auditor's professional judgment were of most significance in the audit of the financial statements of the current period. Key audit matters are selected from matters communicated with those charged with governance.

The purpose of including key audit matters in the auditor's report is to help users in understanding the entity, and to provide a basis for the users to discuss with management and those charged with governance about matters relating to the entity and the financial statements.

ISA 701 Communicating Key Audit Matters in the Independent Auditor's Report suggests that in determining key audit matters the auditor should take the following into account:

- Areas of higher assessed risk of material misstatement or significance risks.
- Significant auditor judgements relating to areas in the financial statatements which involved significant managemebnt judgement.
- The effect on the audit of significant events or transactions which occurred during the period.

The description of each KAM in the Key Audit Matters section of the auditor's report should include a reference to the related disclosures in the financial statements and covers why the matters was considered to be one of most significance in the audit and therefore determined to be a KAM; and how the matter was addressed in the audit.

Q.NO.249 (INSECTS4U):

(d) Impact on auditor's report:

The company made a payment run of $490,000 for payables on 3 May, which is post-year-end. The trade payables which were outstanding at the year end have been understated as they have been recorded as being paid.

The finance director's argument that no adjustment is necessary because the balances affected are both current liabilities is irrelevant, as although both balances are liabilities, they should each still be materially correct.

The amount of the payment run is $490,000 which represents 6% of total liabilities (490/8100) and hence is a material matter.

If management refuses to adjust for the post-year-end payment run, the audit opinion will need to be modified. As trade payables are understated and the bank overdraft is overstated and there is a material misstatement which is not pervasive, a qualified opinion would be necessary. The opinion paragraph would be qualified 'except for'.

Q..NO.251 (ANDROMEDA):

(a) Four factors which influence the reliability of audit evidence:

- The rerliability of audit evidence is increased when it is obtained from independent sources outside the entity.
- Audit evidence obtained directly by the auditor is more relaible than audit evidence obtained indirectly or by inference.
- Audit evidence in documentary form, whether paper, electronic or other medium is more reliable than evidence obtained oraly.
- Audit evidence provided by oroginal documents is more reliable than audit evidence provided by photocopies, the relaibility of which may depend on the controls over their preparation and maintenance.

(e) Impact on auditor's report:

One of the projects Andromeda has devoloped in the year does not meet the recognition criteria under IAS 38 Intangible Assets for capitalisation but has been included within intangible assets. This is contrary to IAS 38, as if the criteria are not mey, then this project is research expenditure and should be expensed to profit or loss rather than capitalised.

The error is material as it represents 11.8% of profit before tax (0.98m/8.3m).

If management refuses to amend this error, then the audit opinion wil need to be modified as management has not complied with IAS 38.

The error is material but not pervasive, therefore the opinion paragraph would be qualified 'except for'.

Q.NO.253 (PINEAPPLE BEACH HOTEL):

(a) List and explain the purpose of FOUR items that should be included on every working paper prepared by audit team.

- Name of client: identifies the client being audited.
- Year end date: identifies the year end to which the audit working papers relate.
- Subject: identifies the area of the financial statements taht is being audited, the topic area of the working paper, such as receivables circularisation.
- Working paper reference: provides a clear reference to identify the number of the working paper.
- Prepare: identifies the name of the audit team member who prepared the working paper, so any queries can be directed to the relevant person.
- Conclusion: the overall conclusion on the audit work performed, whether the area is true and fair.

(e) Impact on auditor's report:

The lack of a signed written representation letter means the auditor does not have sufficient and appropriate audit evidence to be able to form an opinion on the matters covered by the representation.

The opinion should be modified with a disclaimer of opinion being issued stating that the auditor does not express an opinion on the financial statements due to an inability to obtain sufficient appropriate evidence.

The basis for opinion will be changed to a basis for disclaimer of opinion and will explain the issue causing the modified opinion.

The reference to professional standards which is usually included in the basis for opinion section will be moved to the auditor's responsibility section of the report.

The statement that the auditor has audited the financial statements will be changed to the auditor was engaged to perform an audit.